EXECUTIVE SUMMARY

1. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran, It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

The enactment of Republic Act 7160, otherwise known as the Local Government Code of 1991 estend powers of the LGU's to include not only the ability to create other sources of funds but also gives them total independence in planning, managing and deciding its own administrative and financial affairs in conformity with the national government trust of sustainable social and economic development.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019, were P392,391,868.27, P56,626,917.52 and P335,764,950.75, with an increase of 69.85%, 88.06% and 67.12%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P148,599,744.45 and P113,078,423.16, which increased by 7.81% and 8.06%, respectively, from last year's figures.

Particulars	2019	2018	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P392,391,868.27	P231,019,941.59	P161,371,926.68	69.85%
Liabilities	56,626,917.52	30,110,858.31	26,516,059.21	88.06%
Govt. Equity	335,764,950.75	200,909,083.28	134,855,867.47	67.12%
Financial Performance				
Income	P148,599,744.45	P137,833,596.85	P10,766,147.60	7.81%
Expense	113,078,423.16	104,645,713.43	8,432,709.73	8.06%
Appropriations, Allotments and Obligation				
Appropriations	P115,730,000.00	P100,317,000.00	P15,413,000.00	15.36%
Allotments	115,730,000.00	100,317,000.00	15,413,000.00	15.36%
Obligations	98,056,221.06	96,233,605.92	1,822,615.14	1.89%

Comparative Statement of Fund Transfers to and from NGAs, NGOs and POs

Particulars	2019	2018	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 938,600.00	P 461,200.00	477,400.00

Due from GOCCs	-	-	-
Due from LGUs	4,693,461.58	3,485,000.00	1,208,461.58
Due from NGOs/POs	193,319.10	193,319.10	-
Others	-	-	-
TOTAL	**P 5,825,380.68**	**P 4,139,519.10**	**P 1,685,861.58**
Fund Received from Other Agencies:			
Due to NGAs	P 12,276,635.95	P 1,188,048.95	11,088,587.00
Due to GOCCs	252,053.85	404,183.81	(152,129.96)
Due to LGUs	9,399,730.45	1,429,047.50	7,970,682.95
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P 21,928,420.25**	**P 3,021,280.26**	**P 18,907,139.99**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements since the correctness and validity of the Road Networks account as part of LGU's Property, Plant and Equipment (PPE) valued at P63,425,222.60 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to strictly observed complete and proper accounting and reporting guidelines on local road network system. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said account.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account of ₱63,425,222.60 as of December 31, 2019 could not be ascertained.

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

   a. GSO and the Municipal Engineer to conduct the physical inventory on the Local Road Network to come up with the Inventory Report on the Local Road Network.

b. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

c. Municipal Accountant to adjust the books on discrepancies noted;

d. Municipal Engineer to provide the Municipal Accountant and the GSO-Designate with the complete description and cost segregation of the road components for road project.

2. The Municipality is not fully compliant with the provisions of Republic Act (R.A.) No. 10121 or the "The Philippine Disaster Risk Reduction and Management Act of 2010" and COA Circular No. 2012-002 dated September 12, 2012.

   a. The Municipality failed to transfer the unexpended balance of the Local Disaster Risk Reduction and Management Fund (LDRRMF) for CY 2019 to a Special Trust Fund.

   b. The Municipality failed to regularly submit the Report on the Sources and Utilization of the Disaster Risk Reduction and Management Fund contrary to COA Circular No. 2012 – 002.

   c. The amount and details of the unexpended balance of LDRRMF was not disclosed in the Notes to Financial Statements.

   We recommended the following corrective measures:

   a. The Municipal Accountant to transfer the unexpended balance of the LDRRMF to a special trust fund in the Trust Fund books pursuant to Section 21 of R.A. No. 10121 to ensure that funds are available for disaster risk reduction and management activities of the Local Disaster Risk Reduction and Management Council and maintain a separate bank account. The Municipal Treasurer to transfer the unexpended QRF and DRRMF – MOOE to the TF bank account.

   b. Submit the Monthly Report on Sources and Utilization of the DRRMF duly certified correct by the Municipal Accountant on or before the 15th day after the end of each month; and

   c. Disclose the details of the unexpended balance of the LDRRMF in the Notes to Financial Statements under the trust liability account.

3. Out of the total projects budgeted at P5,089,000.00 from the 70% allocation of the LDRRMF of LGU Lasam in CY 2019, twenty four (24) projects aggregating to P4,119,500.00 were either partially or not implemented as of year-end contrary to the declared policy of the State which is to strengthen the capacity of the Local Government Units to build a disaster resilient community as provided in Section 2(e) of Republic Act 10121.

   We recommended that Management optimally utilize the 70% allocation of the Disaster Risk Reduction Management Fund through the full implementation of the projects and activities allowed and mentioned in Section 5 of NDRRMC, DBM and DILG JMC No. 2013-1 to build a disaster resilient community and to reduce disaster risks.

4. Of the total projects budgeted at P30,542,766.77 from the 20%Development Fund, thirteen (13) projects aggregating to P24,542,766.77 or 80.36% were either partially/not implemented as of year-end contrary to the intent of DBM-DILG Joint Memorandum Circular No. 2017-01 dated February 22, 2017, thus depriving the constituents of the benefits to be derived therefrom which adversely affected the efficiency of the municipality towards the achievement of its goals.

   We recommended that management implement strictly all the priority development projects as planned in order to achieve desirable socio-economic development and environmental outcomes in the municipality and eventually deliver timely benefits to its constituents. Also, submit explanation or justification why these projects were not implemented.

5. Several programs and activities in the GAD Plan and Budget (GPB) amounting to P3,456,000.00 were not implemented and monitored in contrary with the requirements under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, dated July 18, 2013 or Guidelines on the Localization of the Magna Carta of Women, hence, defeats the timely realization of the intended purpose for which the fund was created.

   To ensure the timely implementation of the programs, projects and activities under the Gender and Development Fund and to extend to the constituents particularly the women and children their immediate needs as enumerated under the Magna Carta of Women Law, we recommended management thru the GFPS Executive Committee and TWG to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 in the implementation of GPB. Periodic review and corrections should be made on GPB to address local needs, concerns and welfare of women including other gender related issues.

6. Non-utilization of P4,009,740.98 or 80.19% of appropriated fund for Solid Waste Management caused the LGU Allacapan not to fully implement the Solid Waste Management programs, projects and activities which contravened the declared policy of the State and may affect the disposal in appropriate and environmentally sound solid waste management facilities posing risk of distress to the general health of the public in the locality.

   We recommended that Management direct the Municipal Solid Waste Management Board and Municipal Environment and Natural Resource Office to oversee the full implementation of the Solid Waste Management PPAs of LGU Lasam to timely avail the benefits that the public could derive therefrom.

7. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,306,035.45	-	9,541,835.00	764,200.45	92.58%
Current Year	-	-	-	-	-
Total	**10,306,035.45**	-	**9,541,835.00**	**764,200.45**	**92.58%**
Disallowances					
Prior Years	8,865,075.69	8,457,236.05	485,046.05	16,837,265.69	2.80%
Current Year	-	-	-	-	-
Total	**8,865,075.69**	**8,457,236.05**	**485,046.05**	**16,837,265.69**	**2.80%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

8. Status of Implementation of Prior Year's Audit Recommendations

Out of fourteen (14) audit recommendations in prior years, three (4) were fully implemented, five (5) were partially implemented, and the remaining five (5) were not implemented as at year-end.